

VEHICLE LOAN AGREEMENT - SAMPLE 1

Date: 15/01/2026

Place: Gurgaon, Haryana

1. THE PARTIES

LENDER (Creditor):

Name: HDFC Bank Limited

Address: Corporate Office, HDFC Bank House, Senapati Bapat Marg

City: Mumbai | State: Maharashtra | Pin Code: 400025

Phone: 1860-180-1000 | Email: vehicleloan@hdfcbank.com

BORROWER (Debtor):

Name: Rajesh Kumar Sharma

Address: A-505, Cyber City Apartments, DLF Phase II

City: Gurgaon | State: Haryana | Pin Code: 122002

Phone: 9876543210 | Email: rajesh.sharma@email.com

Co-Borrower (if applicable): Priya Sharma (Spouse)

2. VEHICLE DETAILS

Particulars	Details
Make/Manufacturer	Hyundai Motor India Ltd.
Model	Creta EX (Petrol, Automatic)
Year of Manufacture	2026
Body Type	SUV (Sport Utility Vehicle)
Color	Pearl White
Engine Number	HY2K6E987654
Chassis Number	MAK1234567890ABC
VIN	MAK1234567890ABC
Registration Number	HR-26-AB-5678
Odometer Reading	0 km (New Vehicle)

3. LOAN DETAILS

Particulars	Amount
Loan Amount (Principal)	Rs. 18,00,000
Down Payment by Borrower	Rs. 6,00,000
Trade-In Value (if any)	Rs. 0
Sales Tax / GST	Rs. 4,32,000
Registration/Title Fees	Rs. 68,000
Total Vehicle Cost	Rs. 24,00,000

Loan Disbursement Date: 20/01/2026

4. INTEREST RATE AND TENURE

- **Rate of Interest:** 8.5% per annum (compounded monthly)
 - **Loan Tenure:** 60 months (5 years)
 - **Loan Commencement Date:** 20/01/2026
 - **Loan Maturity Date:** 20/01/2031
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5. PAYMENT SCHEDULE

- **Payment Frequency:** Monthly
- **Equated Monthly Installment (EMI):** Rs. 36,548
- **Payment Due Date:** The 20th day of every month
- **First Payment Due:** 20/02/2026
- **Final Payment Due:** 20/01/2031

Installment	Due Date	Principal	Interest	EMI	Outstanding Balance
1	20/02/2026	29,248	12,750	36,548	17,70,752
2	20/03/2026	29,497	12,501	36,548	17,41,255
3	20/04/2026	29,752	12,246	36,548	17,11,503
...	...	...	...	...	...
60	20/01/2031	36,420	128	36,548	0

Total Amount to be Repaid: Rs. 21,92,880

Total Interest Payable: Rs. 3,92,880

6. PAYMENT METHOD

All payments shall be made by the Borrower to the Lender through:

- Cheque / Demand Draft
- Bank Transfer / NEFT / RTGS
- Automatic debit from Borrower's Bank Account (if applicable)
- Post-dated cheques (60 cheques to be submitted)
- Cash (as permitted by law)

Payment Instructions: - Account Name: HDFC Bank Vehicle Loan Receivables - Bank Name: HDFC Bank Limited - Account Number: 50200123456789 - IFSC Code: HDFC0000001 - Branch Address: HDFC Bank, Cyber Hub, Gurgaon, Haryana 122002

7. LATE PAYMENT AND DEFAULT CHARGES

- **Late Fee:** The Borrower shall pay Rs. 500 or 1.5% of the EMI amount, whichever is higher, if payment is not made within 5 days from the due date.
 - **Default Interest:** A default interest rate of 2% per annum shall be charged on overdue amounts after 10 days of non-payment.
 - **Penalty for Bounce of Cheque:** Rs. 1,000 per cheque bounce or as per bank charges, whichever is applicable.
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8. SECURITY/COLLATERAL

The Borrower hereby pledges and hypothecates the Vehicle as security for the repayment of the Loan.

- **Hypothecation:** The Vehicle shall be hypothecated in favor of the Lender.
 - **Registration Certificate:** The Vehicle's RC will be endorsed with the Lender's name as a security holder.
 - **Title Transfer:** The Vehicle shall be transferred to the Lender's ownership in the event of default.
 - **Insurance:** The Borrower shall maintain comprehensive insurance with the Lender named as the loss payee.
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9. PREPAYMENT AND EARLY SETTLEMENT

- The Borrower has the right to prepay the entire loan or make partial prepayments at any time without penalty.

- For partial prepayment, the amount shall be adjusted first to accumulated interest and then to principal.
 - No prepayment charges or penalties shall be applicable.
 - Upon full prepayment, the Lender shall issue a No-Objection Certificate (NOC) within 5 business days.
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10. BORROWER'S OBLIGATIONS

The Borrower agrees to:

1. Repay the loan amount in full along with accrued interest as per the payment schedule.
 2. Obtain and maintain comprehensive insurance on the Vehicle throughout the loan tenure.
 3. Maintain the Vehicle in good condition.
 4. Register the Vehicle with the appropriate authority under the Motor Vehicles Act, 1988.
 5. Obtain the endorsement of hypothecation on the Vehicle's RC.
 6. Not sell, transfer, pledge, or create any lien on the Vehicle without the Lender's written consent.
 7. Not use the Vehicle for any illegal or prohibited purposes.
 8. Maintain all necessary permits, licenses, and permits required for operating the Vehicle.
 9. Pay all taxes, duties, registration fees, and renewal charges.
 10. Provide regular maintenance and keep the Vehicle in insurable condition.
 11. Inform the Lender immediately of any accident, damage, or claim.
 12. Allow the Lender to inspect the Vehicle at any time upon reasonable notice.
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11. LENDER'S RIGHTS

- **Repossession:** In case of default, the Lender has the right to repossess the Vehicle without notice.
 - **Legal Action:** The Lender may initiate legal action to recover the outstanding amount.
 - **Insurance Proceeds:** The Lender shall have the right to insurance proceeds in the event of total loss.
 - **Inspection:** The Lender may inspect the Vehicle and Borrower's financial condition at any time.
 - **Modification of Terms:** The Lender may modify the terms with prior written notice.
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12. REPRESENTATIONS AND WARRANTIES

The Borrower represents and warrants that:

- The Borrower has the legal capacity to enter into this Agreement.
 - The Borrower is the legal owner of the Vehicle.
 - No other claims, liens, or encumbrances exist on the Vehicle.
 - All information provided is true, accurate, and complete.
 - The Borrower is not in breach of any existing loan agreements.
 - The Borrower has the legal authority to pledge the Vehicle as security.
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13. COVENANTS AND UNDERTAKINGS

1. The Borrower shall comply with all applicable laws and regulations.
 2. The Borrower shall not leave India for long stay without fully repaying the loan.
 3. The Borrower shall maintain an active insurance policy with comprehensive coverage.
 4. The Borrower shall not engage in any activity that would adversely affect the Vehicle.
 5. The Borrower shall cooperate with the Lender in all loan-related matters.
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14. EVENTS OF DEFAULT

The Borrower shall be considered in default if:

- Payment is not made within 5 days of the due date.
 - The Vehicle insurance policy lapses or is not renewed.
 - The Vehicle is sold, transferred, or pledged without consent.
 - The Borrower provides false or misleading information.
 - The Borrower fails to maintain the Vehicle in insurable condition.
 - The Borrower is declared bankrupt or insolvent.
 - Any legal action is initiated for non-payment of other debts.
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15. CONSEQUENCES OF DEFAULT

Upon default, the Lender shall have the following rights:

- **Acceleration:** All remaining installments become immediately due and payable.
- **Repossession:** The Lender may repossess the Vehicle without court order.
- **Sale of Vehicle:** The Lender may sell the Vehicle to recover the outstanding amount.

- **Legal Action:** The Lender may initiate legal proceedings to recover the debt.
 - **Collection Charges:** All costs incurred in recovery shall be borne by the Borrower.
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16. GOVERNING LAW AND DISPUTE RESOLUTION

This Agreement shall be governed by the laws of India, including the Motor Vehicles Act, 1988, and the Indian Contract Act, 1872.

Dispute Resolution: - Mutual negotiation and discussion (first attempt) - Arbitration (if negotiation fails) - governed by Arbitration and Conciliation Act, 1996 - Jurisdiction of courts in Gurgaon, Haryana

17. GENERAL PROVISIONS

- **Amendments:** Any amendments must be in writing and signed by both parties.
 - **Entire Agreement:** This Agreement constitutes the entire agreement.
 - **Severability:** If any provision is invalid, remaining provisions remain in effect.
 - **Waiver:** No waiver of any breach constitutes a waiver of subsequent breach.
 - **Confidentiality:** Both parties shall maintain confidentiality.
 - **Force Majeure:** Neither party liable for non-performance due to unforeseen circumstances.
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18. SIGNATURES

BORROWER(S):

Signature: _____ Date: _____

Name: Rajesh Kumar Sharma

CO-BORROWER:

Signature: _____ Date: _____

Name: Priya Sharma

LENDER:

Signature: _____ Date: _____

Name: HDFC Bank Limited

Officer Stamp: _____

19. WITNESSES

Witness 1: Name: _____ Signature: _____
_____ Date: _____

Witness 2: Name: _____ Signature: _____
_____ Date: _____